Kanpur Plastipack Ltd

Concall tracker, Q2-2027 folder · NSE: KANPRPLA · BSE: 507779 · Kanpur, Uttar Pradesh

Kanpur Plastipack makes woven polypropylene packaging: mainly FIBCs (the big one-tonne "jumbo bags" used to ship powders and grains), plus woven fabric, small bags and multifilament yarn. Most of it is exported, about 60% to Europe. It also trades polymer (its own raw material) on the side, owns a UK distributor (Valex Ventures), and is starting two new lines: premium Taslan yarn through an Italian joint venture (ESSEKAN, with Essegomma) and a needle-punch non-woven fabric plant.

1. Snapshot

Number	Value	Plain read
Market cap	₹631 cr	A small company.
Sales, FY26	₹716 cr, up 27%	Part of this is polymer trading and higher plastic prices, not just more bags.
Sep 2026 quarter sales	₹235 cr, up 42% on a year ago	Highest ever. Polymer prices rose sharply this year, which pushes up selling prices.
Operating margin (OPM)	9% in Sep 2026 quarter; 9% FY26; 4% FY24	Thin: about ₹9 kept from each ₹100 of sales. Recovered from a bad FY24.
Net profit, last 12 months	₹51 cr	Up from almost nothing in FY24 and ₹11 cr in FY25.
Debt	₹163 cr (Sep 2026), up from ₹112 cr in March	Borrowing went back up as working capital and the new plants took cash.
P/E	12.4	Cheap on today's profit, which is typical for a low-margin packaging maker.

2. Concall coverage

Quarter	Call date	Read?
Q1 FY26	Aug 2025	Skimmed
Q2 FY26	Nov 2025	Skimmed
Q3 FY26	Feb 2026	Skimmed
Q4 FY26	May 2026	Read
Q1 FY27	29 Jul 2026	Read in full
Q2 FY27	Not yet published	PENDING: Sep 2026 results are out, transcript not yet on Screener

Five calls over about a year (the company only started holding calls in 2025), so the consistency read is limited. The Sep-quarter numbers come from the results, not management commentary.

Latest concall highlights, Q1 FY27 (29 Jul 2026)

- First quarter with income over ₹200 cr. Operating profit up about 59% and margin up to 10.7% from 7.7%, because selling prices rose faster (31%) than polymer costs (18%) during the West Asia supply shock.
- FIBC output fell to about 3,000 tonnes from 3,500 the quarter before, hit by polymer and labour disruption. Target is 5,000 tonnes a quarter by Q1 FY28.
- The Taslan yarn joint venture started commercial production; about ₹10 cr of sales expected this year at a 20-25% margin, aiming at ₹25 cr, ₹50 cr, ₹100 cr in later years.

- Non-woven fabric plant on track to start in Q3 FY27, first machine by September, second by December; ₹20-25 cr revenue this year.
- Worries: ocean freight jumped from $2,000 to $5,000 a container, which could cut demand or squeeze margin. Order visibility is only about four weeks. Higher state minimum wages added about ₹3 cr a quarter in costs.

Business mix & capacity
Mostly exports: Europe about 60% of exports, South America 20%, North America 16%. Product mix in Q1 FY27: FIBC 52%, fabric 20%, small bags 12%, yarn 8%, other 8%.
FIBC capacity is 18,000 tonnes a year; Q1 ran at about 3,000 tonnes a quarter (about two-thirds use). A new building adds up to 6,000 tonnes over five years, roughly 1,200 tonnes a year.

3. Earning trigger thesis

Management's story is a shift from plain FIBC bags toward higher-margin products: premium Taslan yarn (20-25% margin) and needle-punch non-wovens for car interiors, geotextiles and carpets (mid-teens margin), alongside slow FIBC capacity growth. Neither new line is in the numbers yet. Today's jump in sales and margin came mostly from polymer price swings and trading gains, which management itself calls temporary.

Trigger	What management said	Evidence so far	Time horizon	Strength
Non-woven fabric plant	Revenue from H2 FY27 (Nov 2025); commissioning Q3 FY27 (Jul 2026)	Construction and installation on schedule	Q3-Q4 FY27	Unproven, on time so far
Taslan yarn JV (ESSEKAN)	₹10 cr this year at 20-25% margin, then ₹25/50/100 cr	Production started; certifications and brand approvals in hand; sampling now	FY27-FY30	Unproven, small
FIBC volume growth	5,000 tonnes a quarter by Q1 FY28	Fell to about 3,000 tonnes in Q1	FY28	Weak: going the wrong way
Valex UK distributor	Better European pricing and margins	"Has not given any significant tangible benefit" (Jul 2026)	Unclear	Weak

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Net debt rose to ₹132 cr in June from ₹112 cr in March.
New business	Yes	"Commercial production and sales of premium Taslan yarn have commenced, marking our entry into a new value-added product segment" (Jul 2026)
Margin up	Yes	"Realizations significantly outpaced the increase in input costs" (Jul 2026); management doesn't promise it'll last
New management	No	Same CMD and deputy MD.
New capacity	Yes	"Remains on track to commission the non-woven fabric facility by Q3 of 2026-'27" (Jul 2026); FIBC building floors done by mid-September
Big orders	No	Visibility "about four weeks".
Turnaround	No	Profit recovered from FY24 lows but management doesn't frame it as a turnaround.

Promoter buying	No	Not discussed on the calls (promoter stake has crept up a little).

Single concrete driver: A new needle-punch non-woven plant starting in the December quarter and a premium Taslan yarn joint venture are meant to add higher-margin sales on top of the FIBC bag business.

3c. Margin bridge

Operating margin was about 9% a year ago and about 9-11% in the last two quarters. The lift came from selling prices running ahead of polymer costs during the West Asia supply shock, plus trading gains, partly eaten by higher wages, freight and one-time disruption costs. Management guides margins "similar" and warns freight costs could squeeze them. (one-off)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Aug 2025	Margins to stay about the same	Held around 7-12%	Delivered
Nov 2025	Valex consolidation brings better European pricing and margin	No real benefit yet (Jul 2026)	Missed
Nov 2025	Non-woven revenue from H2 FY27	Still on schedule for Q3 FY27	Too-early
Feb-May 2026	FIBC capacity build and output ramp	Building on time, but output fell to about 3,000 tonnes	Partly
May 2026	About 10% sales growth for FY27, margins similar	First half sales up about 28%, much of it from higher polymer prices	Delivered
Jul 2026	Taslan sales scale up from Q2; non-woven first machine by September	To be checked on the Q2 call	Too-early

Narrative drift: The diversification story (Taslan yarn, non-wovens, more FIBC) has been steady for a year and the project dates have mostly held. The FIBC volume target keeps slipping, and the UK buyout hasn't delivered. Management is open about the price-driven nature of recent gains, which is a plus.

5. Bottom line

Durable earning trigger? → MAYBE

The non-woven plant and Taslan yarn are real, dated projects with better margins, but they're small and not yet selling at scale. The current profit jump is mostly polymer prices, which can reverse.

Management consistent? → MAYBE

Project timelines have held so far, but core bag volumes are below target and Valex hasn't paid off. Only five calls, so the record is short.

6. Checkpoints for next quarter

- Non-woven plant's first machine is running and selling by the Q3 call
- FIBC output climbs back above about 3,500 tonnes a quarter
- Taslan yarn sales pick up as promised from Q2

Sources: Screener.in financials and 5 concall transcripts (Aug 2025 to Jul 2026). Q2 FY27 transcript pending. This is not investment advice. Do your own due diligence.